

Amendment No. 1 to HB1278

Crawford
Signature of Sponsor

AMEND Senate Bill No. 646*

House Bill No. 1278

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Hurricane Helene Rapid Response Act."

SECTION 2. Tennessee Code Annotated, Title 9, Chapter 4, Part 2, is amended by adding the following as a new section:

9-4-215. Appropriation fund for Hurricane Helene relief for impacted local governments.

(a) There is created within the state treasury a Hurricane Helene county relief fund, hereinafter the "fund," to be administered by the department of finance and administration for the benefit of counties recovering from Hurricane Helene. The department shall award grants from the fund to county governing bodies in accordance with this section.

(b) It is the intent of the general assembly that the fund is funded by an appropriation of fifty million dollars (\$50,000,000) for fiscal year 2025-2026, and may be funded by additional appropriations in subsequent fiscal years.

(c) A county that receives a grant from the fund must use the grant money for any purpose related to infrastructure, remediation, repair or replacement of improved or unimproved public or private real or personal property, and other general purposes related to county recovery efforts in the aftermath of Hurricane Helene.

(d) Subject to appropriations, on July 2, 2025, the department shall award grants from the fund as follows:

(1) To Johnson County, seven million five hundred thousand dollars
(\$7,500,000);

(2) To Unicoi County, seven million five hundred thousand dollars
(\$7,500,000);

(3) To Washington County, seven million five hundred thousand dollars
(\$7,500,000);

(4) To Carter County, ten million dollars (\$10,000,000);

(5) To Cocke County, seven million five hundred thousand dollars
(\$7,500,000);

(6) To Greene County, six million dollars (\$6,000,000);

(7) To Hamblen County, two million dollars (\$2,000,000);

(8) To Sullivan County, one million dollars (\$1,000,000); and

(9) To Hawkins County, one million dollars (\$1,000,000).

(e) The county must keep a record of disbursements from funds received under subsection (d) for purposes of an audit by the comptroller of the treasury, which may be incorporated into a general audit of the county by the comptroller in accordance with state law. The record must include a description of the purpose for, and the recipient of, each disbursement from such funds. The record must be kept for the period of time as required and determined by the comptroller of the treasury.

SECTION 2. Tennessee Code Annotated, Title 58, Chapter 2, is amended by adding the following new part:

58-2-1001. Findings and purpose.

(a) The general assembly declares that disaster mitigation and resiliency from the devastation caused by Hurricane Helene are of the highest priority to this state and the people of Tennessee.

(b) The general assembly finds that rapidly deploying grant funding to eligible residents in counties most affected by Hurricane Helene is a meaningful step toward mitigating the loss and devastation experienced by residents of such counties.

58-2-1002. Definitions.

As used in this part:

(1) "Director" means the director of the agency;

(2) "Eligible individual" means a natural person who is:

(A) A resident of a county for which the federal or state government issued a declaration of emergency as the result of the impacts of Hurricane Helene; and

(B) Eligible for assistance in accordance with rules promulgated by the agency under this part; and

(3) "Fund" means the Hurricane Helene Rapid Response Fund, created pursuant to § 58-2-1003.

58-2-1003. Hurricane Helene rapid response grant fund.

(a) There is created in the state treasury the Hurricane Helene Rapid Response Fund, to be administered by the agency for the benefit of eligible individuals recovering from the devastation caused by Hurricane Helene. The agency shall award grants from the fund to eligible individuals in accordance with this part.

(b) It is the intent of the general assembly that the fund is funded by an appropriation of fifty million dollars (\$50,000,000) for fiscal year 2025-2026, and may be funded by additional appropriations in subsequent fiscal years.

(c) Money remaining in the fund at the end of the fiscal year must not revert to the general fund, but must remain in the fund for the issuance of grants in accordance with this part. Money in the fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6, for the sole benefit of the fund.

58-2-1004. Administration and rulemaking.

(a) The director shall develop an electronic application form for eligible individuals to apply for a grant from the fund that may be submitted electronically through an online portal on the agency's website. The application and portal must be created within the existing resources of the agency.

(b) The agency shall adopt rules for the administration of grants from the fund, including rules:

(1) Prescribing additional qualifications of an eligible individual;

(2) Prescribing guidelines outlining the qualified uses for such funds, including reimbursements for bonafide expenditures of eligible individuals;

(3) That facilitate the expedient and rapid disbursement of grants to eligible individuals, including rules to expedite the review and approval of applications; and

(4) That ensure that the issuance of grant funds are not a duplication of benefits under federal law.

(c) Rules adopted by the agency under subsection (b) may be emergency rules, and must be adopted in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 3. This act is not an appropriation of funds, and funds must not be obligated or expended pursuant to this act unless the funds are specifically appropriated by the general appropriations act.

SECTION 4. For purposes of promulgating rules and carrying out administrative duties necessary to effectuate this act, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2025, the public welfare requiring it.